

**Expungement Award
FINRA Dispute Resolution Services**

In the Matter of the Arbitration Between:

Claimant

Karl Klingmann II

Case Number: 25-01060

vs.

Respondent

Kovack Securities Inc

Hearing Site: Wilmington, Delaware

Awards are rendered by independent arbitrators who are appointed pursuant to Rule 13806 of the Code of Arbitration Procedure ("Code") to issue final, binding decisions. FINRA makes available an arbitration forum—pursuant to rules approved by the SEC—but has no part in deciding the award.

Nature of the Dispute: Associated Person vs. Member

The expungement hearing was conducted by videoconference.

REPRESENTATION OF PARTIES

For Claimant Karl Klingmann II ("Claimant"): Debra A. Jenks, Esq, Debra A. Jenks, P.A., West Palm Beach, Florida.

For Respondent Kovack Securities Inc ("Respondent"): Amy S. Towle, Esq, Kovack Securities Inc, Pompano Beach, Florida.

CASE INFORMATION

Statement of Claim filed on or about: May 25, 2025.

Karl Klingmann II signed the Submission Agreement: May 27, 2025.

Statement of Answer filed by Respondent on or about: July 7, 2025

Kovack Securities signed the Submission Agreement: July 10, 2025

CASE SUMMARY

In the Statement of Claim, Claimant asserted a claim seeking expungement of customer dispute information from registration records maintained by the Central Registration Depository ("CRD").

In the Statement of Answer, Respondent did not oppose Claimant's expungement request.

RELIEF REQUESTED

In the Statement of Claim, Claimant (CRD Number 4268378) requested expungement of all references to Occurrence Number 2337252 from the CRD registration records and any and all other relief that the Panel deems just and equitable.

In the Statement of Answer, Respondent did not set forth any specific request for relief.

OTHER ISSUES CONSIDERED AND DECIDED

The Arbitrators acknowledge that they have each read the pleadings and other materials filed by the parties.

On June 12, 2025, Claimant advised that the customers in Occurrence Number 2337252 ("Customers") were served with a copy of the Statement of Claim, although not within 10 days of filing the Statement of Claim, and provided proof of service.

On July 7, 2025, Claimant advised that the Customers were served with a copy of the Statement of Answer within 10 days of its filing and provided proof of service.

On October 17, 2025, Claimant filed proof of service for the Statement of Claim, Statement of Answer, copies of all documents provided by Claimant to the Customers, and copies of all communications sent to the Customers and responses received from the Customers.

On May 28, 2025, the Customers registered for the DR Portal, providing them with access to all documents filed in the case.

The Panel conducted a recorded hearing by videoconference on November 12, 2025, so the parties could present oral argument and evidence on Claimant's request for expungement. Claimant appeared by videoconference at the expungement hearing. Respondent appeared at the expungement hearing and, as stated in the Statement of Answer, did not oppose the request for expungement.

The Customers and their representative did not appear at the expungement hearing.

No authorized representative of a state securities regulator appeared at the expungement hearing.

The Panel noted Claimant's representation that a prior arbitration panel or court has not previously ruled on expungement of the same occurrence in the CRD.

The Panel reviewed the settlement documentation related to Occurrence Number 2337252, considered the amount of payment made to any party to the settlement, and considered other relevant terms and conditions of the settlement. The Panel noted that the settlement was not conditioned on any party to the settlement not opposing the expungement request and that Claimant did not contribute to the settlement amount.

The Panel relied upon the following documentary or other evidence: (1) Claimant's testimony; (2) a copy of Claimant's current FINRA Central Registration Depository ("CRD")(CRD Number

4268378); (3) a copy of the settlement agreement entered into between the underlying Customers and Respondent; (4) proof that the Customers and their legal representative were notified of the expungement proceeding and chose not to appear or participate; (5) proof that the State Securities Regulator was notified of the expungement proceeding and chose not to appear or participate; (6) a copy of the Customers' Statement of Claim against Respondent, and Respondent's Answer, which resulted in the matter being settled; (7) a copy of Claimant's relevant handwritten notes; (8) a copy of the Offering Overview, Subscription Booklet, Private Placement Memoranda and related documents, for each of the syndicated conservation easement investments central to the Customers' claims; (9) a copy of the account opening documents signed by the underlying Customers and submitted to Respondent and the issuers of the conservation easement investments; (10) audio recordings played for the panel in which the underlying Customer MC acknowledges the risks of the investments; (11) a copy of the underlying Customers' IRS 1040 tax returns for 2016 and 2017; (12) a summary chart extracted from the underlying Customers' IRS 1040 tax returns from 2014 to 2023 showing taxes paid and the charitable donation credits from the conservation easement investments; (13) copies of excerpts from the underlying Customers' 2022 IRS 8886 Reportable Transaction Disclosure Statement; (14) Claimant's Statement of Claim and Submission Agreement; and (15) Respondent's Answer and Submission Agreement.

AWARD

After considering the pleadings, the testimony and evidence presented at the expungement hearing, and any post-hearing submissions, the Panel has decided in full and final resolution of the issues submitted for determination as follows:

1. The Panel awards the expungement of all references to Occurrence Number 2337252 from registration records maintained by the CRD for Claimant Karl Klingmann II (CRD Number 4268378) with the understanding that, pursuant to Rule 2080, Claimant Karl Klingmann II must obtain confirmation from a court of competent jurisdiction before the CRD will execute the expungement directive.

Unless specifically waived in writing by FINRA, parties seeking judicial confirmation of an arbitration award containing customer dispute expungement relief must name FINRA as an additional party and serve FINRA with all appropriate documents.

Pursuant to Rule 13805 of the Code, the Panel has made the following affirmative findings of fact:

The claim, allegation, or information is factually impossible or clearly erroneous and the claim, allegation, or information is false.

The Panel has made the above findings based on the following reasons:

Claimant has provided uncontested credible testimony and evidence that establishes that the underlying Customer claims were clearly erroneous and false. The Panel found that the Customers' investment in syndicated conservation easements was undertaken with full understanding that this type of alternate investment carried the risk that the Internal Revenue Service could disallow the charitable deductions related thereto. Ample evidence was

provided that the risks of the investment were known to the Customers and that they specifically acknowledged the existence of such risks yet affirmatively chose to pursue and invest in syndicated conservation easements. In addition to both initialing and signing documentary disclosures about the risks of his chosen investment strategy, Customer MC also verbally acknowledged his understanding of the associated risk in telephone conversations that were recorded and played back to the Panel. Furthermore, the Customers did receive charitable tax credit benefits to the extent of their investments; although they hoped that the investment would enable them to have more favorable tax treatment than they ultimately received.

FEES

Pursuant to the Code, the following fees are assessed:

Filing Fees

FINRA Dispute Resolution Services assessed a filing fee* for each claim:

Initial Claim Filing Fee	= \$ 2,000.00
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**The filing fee is made up of a non-refundable and a refundable portion.*

Member Fees

Member fees are assessed to each member firm that is a party in these proceedings or to the member firm that employed the associated person at the time of the event giving rise to the dispute. Accordingly, as a party, Respondent is assessed the following:

Member Surcharge	= \$ 2,600.00
Member Process Fee	= \$ 5,005.00

Hearing Session Fees and Assessments

The Panel has assessed hearing session fees for each session conducted. A session is any meeting between the parties and the Arbitrators, including a pre-hearing conference with the Arbitrators, which lasts four (4) hours or less. Fees associated with these proceedings are:

One (1) pre-hearing session with the Panel @ \$1,725.00/session	= \$	1,725.00
Pre-Hearing Conference: September 2, 2025	1 session	
One (1) hearing session on expungement request @ \$1,725.00/session	= \$	1,725.00
Hearing: November 12, 2025	1 session	
Total Hearing Session Fees	= \$	3,450.00

The Panel has assessed the total hearing session fees to Claimant.

All balances are payable to FINRA Dispute Resolution Services and are due upon receipt.

ARBITRATION PANEL

Jill Pilgrim	-	Public Arbitrator, Presiding Chairperson
Richard J. Lawrence	-	Public Arbitrator
Donald M. Thompson	-	Public Arbitrator

I, the undersigned Arbitrator, do hereby affirm that I am the individual described herein and who executed this instrument, which is my award.

Concurring Arbitrators' Signatures

Jill Pilgrim

Jill Pilgrim
Public Arbitrator, Presiding Chairperson

12/04/2025

Signature Date

Richard J. Lawrence

Richard J. Lawrence
Public Arbitrator

12/04/2025

Signature Date

Donald M. Thompson

Donald M. Thompson
Public Arbitrator

12/04/2025

Signature Date

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December 04, 2025

Date of Service (For FINRA Dispute Resolution Services use only)